The Finrise
Swing-Trading Playbook

5 screener-based strategies for Indian stocks

Trade at your own risk.

FINRISE TRADING ACADEMY · 27 JUNE 2026

Risk Disclaimer — Please Read Before Proceeding

This document is provided **for educational purposes only**. Nothing in this playbook constitutes investment advice, a buy or sell recommendation, or a SEBI-registered research report. Finrise is **not a registered investment adviser** and this material must not be treated as a solicitation to trade any security.

Swing trading in equities involves **substantial risk of capital loss**. Markets can and do move sharply against open positions. You may lose part or all of the money you commit. Past performance of any pattern, strategy, or indicator shown here is **not a guarantee or indicator of future results**.

Always size each position so that the maximum potential loss on that trade is a small fraction of your total capital that you can genuinely afford to lose. Do not use borrowed money or funds set aside for essential expenses.

Trade at your own risk. Consult a SEBI-registered investment adviser before making any trading or investment decision.

Contents

FOUNDATION

THE 5 STRATEGIES

Market Basics

Trends

Every stock is either trending or ranging. Recognising which state you are in before you trade is the single most important habit you can build.

Uptrend — Price makes a series of *higher highs* and *higher lows*. Each rally reaches a new peak; each pullback stops above the previous low. The bulls are firmly in control.

Sideways / Range — Price oscillates between a floor (support) and a ceiling (resistance) without making new highs or lower lows. Neither side is winning.

Downtrend — Price makes a series of *lower highs* and *lower lows*. Each rally is weaker than the last; each sell-off reaches a deeper low. The bears are in control.

Who Moves the Market

FII — Foreign Institutional Investors
Large global asset managers, hedge funds, and sovereign wealth funds that invest cross-border. Their order sizes are enormous, so when they rotate into or out of Indian equities the market can move sharply in a single session.

DII — Domestic Institutional Investors
Indian entities such as mutual funds, life insurers, pension funds, and banks. DIIs often act as a counterbalancing force — buying when FIIs sell and vice versa — which can slow sharp moves.

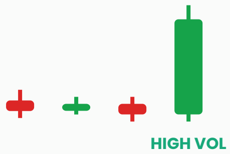
Retail Traders
Individual investors and traders like us. Retail is the smallest pool of capital and tends to be reactive — often entering a move after institutions have already committed, which can result in being caught in reversals.

How FIIs Push the Market & How Candles Behave

When large foreign funds deploy capital into Indian equities in a single session, a distinctive fingerprint appears on the chart:

- **Long green (bullish) candles** with bodies that dwarf the surrounding bars — FII buying pressure overwhelms sellers.
- **Gap-up opens** — overnight buy orders push the price above the previous day's close before Indian markets even open.

- **Volume spike** — exchange volume can be two to four times the recent average on a heavy FII accumulation day.
- **Retail gets trapped** — seeing the sharp move, retail traders pile in near the top; if FIIs begin distributing shortly after, retail is left holding a declining position.



Small-bodied candles followed by a large FII-driven green candle on high volume.

The Position & Profit Rule

Every strategy in this playbook uses the same profit target framework. Apply it consistently:

Under ₹500

You can aim to ride the move up to approximately **20%**. Smaller-priced stocks have more room to run on a percentage basis and volatility works in your favour on the way up.

₹500 and Above

Target up to approximately **10%**. Higher-priced stocks tend to be larger-cap and may move more slowly; a 10% swing is still a highly meaningful return.

These are *maximum guides*, not guaranteed outcomes. Always set a stop-loss before entering any trade and honour it without exception. Partial profit-booking at 50–60% of the target, then trailing the rest, is a sound approach.

Strategy 1 — Bullish Engulfing

1 Bullish Engulfing (intraday-to-swing)

WHAT IT IS

A two-candle reversal signal where a large green candle completely swallows the body of the previous red candle, indicating that buyers have seized control after a period of selling. When spotted near a support level or after a pullback in an uptrend, it can mark the start of a multi-day swing move.

THE SCREENER

Run this scan on ChartInk to find today's occurrences:

```
chartink.com/screener/bullish-engulfing-pattern-1
```

How to run it: Around **2:30 PM IST** — about 30 minutes before the NSE close — open the screener and click **Run Scan**. The list shows every stock that has printed the bullish engulfing pattern on that day's candles. Review the **top 10 results**.

PICKING THE #1 CANDIDATE — WHAT MAKES A PROPER ENGULFING

- The green candle's **body must fully cover the previous red candle's body** — open-to-close of the green must be wider than open-to-close of the red.
- Only a **very small lower wick** on the green candle is acceptable. A large lower wick means buyers struggled near the lows and the signal is weakened.
- The green candle should close **near its high** — strong conviction buying right through the close.
- Volume on the green candle should be noticeably higher than average — institutional participation matters.
- Prefer stocks already in an uptrend or pulling back to a known support level.

CHART EXAMPLE

Left: a valid engulfing — the green body fully covers the red body with a tiny lower wick. Right: a weak signal — the green body is too small and the long wick shows indecision.

PROFIT RULE

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Always pair with a defined stop-loss. Keep targets realistic.

Strategy 2 — Near the 200 EMA

2 Price Pulling Back to the 200 EMA

WHAT IT IS

The **200-period Exponential Moving Average** is the most widely watched long-term trend indicator by institutions worldwide. In a healthy uptrend, price regularly pulls back to this line and finds buyers, making each touch-and-bounce a high-probability entry for a continuation swing.

THE SCREENER

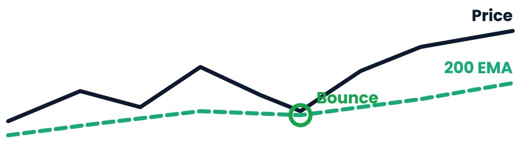
`chartink.com/screener/near-200-ema`

Lists stocks whose current price is within a few percent of their 200 EMA — exactly where the bounce opportunity lives.

THE SETUP / RULES

- Confirm the stock is in a **clear uptrend** on the daily chart — the 200 EMA must be *rising* (pointing upward from left to right).
- Price has pulled back and is now **testing or sitting just above the 200 EMA** — not breaking below it.
- Wait for a **bullish confirmation candle** at or near the 200 EMA: a green candle, a hammer, or a bullish engulfing forming at that level.
- Enter on the close of the confirmation candle (or early the next morning).
- **Stop-loss:** a daily close convincingly below the 200 EMA invalidates the trade — exit immediately.
- Avoid if the 200 EMA is *flat or declining* — the uptrend support dynamic no longer applies.

CHART EXAMPLE



Price rising above the 200 EMA (dashed), pulling back to touch it, then bouncing — the classic setup.

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Strategy 3 — Stochastic + Support

3 Stochastic Oversold at a Support Level

WHAT IT IS

The **Stochastic oscillator** measures where a stock's current close sits relative to its recent price range. When it falls below 20 the stock is considered *oversold* — selling may be exhausted. Combine this with a price at a known support zone and you have two independent reasons to expect a bounce.

THE SCREENER

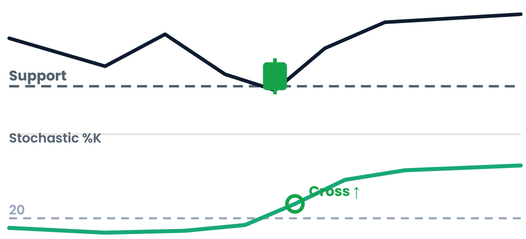
`chartink.com/screener/stochastic-oversold`

Find this indicator on TradingView under "Stochastic" — default settings (14, 3, 3) work fine for daily charts.

THE SETUP / RULES — ALL THREE MUST ALIGN

- **Support level:** price is sitting at a clearly identifiable horizontal support zone (a previous swing low, a round number, or a consolidation base).
- **Green candle:** a bullish candle forms at that support level — not a doji or a wick-heavy indecision bar, but a proper green body.
- **Stochastic %K crosses above 20 from below:** the %K line has been below 20 (oversold) and now turns upward, crossing through the 20 level — confirming momentum is reversing.
- Enter after all three conditions are confirmed at the close of the green candle.
- **Stop-loss:** a candle close below the support level. If support breaks, the thesis is wrong.

CHART EXAMPLE



Top: price at support (dashed line) with a green bounce candle. Bottom: the Stochastic %K line (teal) crossing up through the 20 level at the same moment.

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Strategy 4 — W Pattern / Double Bottom

4 W Pattern (Double Bottom)

WHAT IT IS

The double bottom — shaped like a letter W — is one of the most reliable reversal patterns in technical analysis. Price falls to a low, rebounds to a middle peak (the **neckline**), falls again to approximately the same low, and then rallies decisively. The pattern completes only when price breaks and closes *above the neckline*.

THE SCREENERS

`chartink.com/screener/w-pattern` `topstockresearch.com → Double Bottom scan`

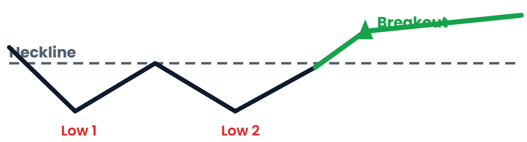
THE SETUP / RULES

- Identify two **roughly equal lows** — they don't need to be pixel-perfect, but the second low should not be more than a few percent below the first.
- The peak between the two lows establishes the **neckline**. Mark it with a horizontal line.
- **Only enter on a confirmed breakout above the neckline** — do not buy in anticipation. Entering early is the most common mistake with this pattern.
- Look for the breakout candle to have above-average volume — that confirms institutional participation in the breakout move.
- **Stop-loss:** a close back below the neckline after the breakout.

SPOTTING A FAKE BREAKOUT

- Breakout occurs on **thin or below-average volume** — no institutional follow-through.
- The breakout candle **closes back below the neckline** within one or two sessions.
- Price fails to hold the neckline as support on a retest — what was resistance now needs to act as support, and if it doesn't, the breakout is false.
- A real breakout has a strong, decisive close above the neckline, volume expansion, and ideally holds the neckline on the first pullback.

CHART EXAMPLE



Two equal lows form the W shape. The dashed neckline marks the middle peak. A green segment shows the valid breakout above the neckline.

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Strategy 5 — Triangle Pattern

5 Triangle Pattern Breakout

WHAT IT IS

A triangle forms when price oscillates between two converging trendlines, compressing into a tighter and tighter range. This contraction reflects a temporary balance between buyers and sellers. When price finally breaks out of the triangle, the pent-up energy drives a sharp directional move — usually in the direction of the trend that preceded the consolidation.

THE SCREENER

`chartink.com/screener/triangle-pattern-14`

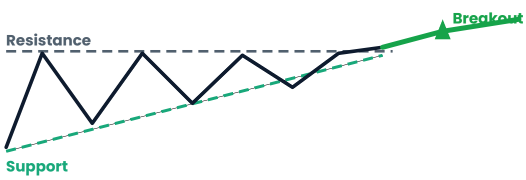
TYPES OF TRIANGLES

- **Ascending triangle** — flat resistance at the top, rising support at the bottom. Bullish bias; expect an upward breakout.
- **Descending triangle** — flat support at the bottom, declining resistance at the top. Bearish bias; expect a downward breakdown.
- **Symmetrical triangle** — both trendlines converge at the same angle. Neutral until the breakout direction is confirmed; trade in the direction of the prior trend.

THE SETUP / RULES

- Identify the two converging trendlines clearly — you need at least **two touch points on each line** to draw them reliably.
- Notice how **volume typically contracts** as price moves deeper into the triangle. This is normal — it signals the market waiting for a catalyst.
- **Wait for a decisive close beyond the trendline** — not just an intraday pierce. A daily close outside the triangle is the trigger.
- Confirm with a **volume expansion on the breakout candle** — volume should jump above the recent average, ideally significantly.
- Trade the breakout **in the direction of the prior trend**: if the triangle formed after an uptrend, favour the upside breakout.
- **Stop-loss:** a close back inside the triangle negates the breakout — exit promptly.

CHART EXAMPLE



An ascending triangle: price bouncing between a flat resistance (dashed) and a rising support trendline (teal), then breaking out to the upside on strong volume.

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Always pair with a defined stop-loss. Keep targets realistic.